

BIC Mock Trading Tournament Rules

Babcock Investors Club • Tournament Handbook

1. Format

The tournament runs for a fixed window (typically 4-8 weeks). Each participant starts with a virtual portfolio of £1,000,000 and trades in a simulated environment using real-world price data for NGX-listed equities and ETFs (and, where enabled, forex and crypto pairs).

2. Trading rules

Simulated transaction costs of 0.5% per trade apply – this discourages reckless day-trading and teaches fee awareness. No single stock may exceed 25% of portfolio value at purchase (diversification cap). Orders execute at the simulated price at the time of submission. Leverage and derivatives are not permitted unless announced.

3. Scoring – risk-adjusted returns

Ranking is NOT by raw return alone. Winners are judged by the Sharpe ratio: the portfolio's excess return divided by its volatility. This rewards consistent, controlled returns over gambling on high-beta stocks. A portfolio that loses more than 30% of its starting value (maximum drawdown) is disqualified – risk management is part of the game.

4. Submitting your strategy

Participants may earn bonus points for documenting a strategy – a trade journal and investment thesis explaining each position. Judges award the bonus at the closing ceremony.

5. Prizes & recognition

Top performers receive certificates and prizes, and results are celebrated on the club's channels. Top ten finishers get fast-track entry into the club's analyst development track.

6. Code of conduct

No collusion, no multi-accounting, no manipulation of the simulator. Any violation leads to disqualification. Play fair – the point is to learn how real markets reward discipline.

Rules may be updated per edition. The current edition's rules override this handbook.